UNIT III

Organizational Dynamics: Definition and Importance, Individual and Group Dynamics, Organizational Behaviour, Organizational Structure and Culture, types of Organizational Structures, Influence of Culture on Dynamics and Performance, Change Management

Organizational Dynamics

Organizational dynamics are a collection of processes that managers can use to conduct operations efficiently and to comprehensively manage a company's goals. The organizational dynamics may vary greatly between different companies, as these entities can have different needs and goals. Understanding what organizational dynamics are can help managers adapt their leadership style and more effectively maintain an optimal working environment.

Organizational dynamics are the ways in which various types of people interact within a company. These interactions may include the relationships between customers, employees, suppliers, and organizational leaders.

This concept also deals with how a manager commands a company and the various strategies they execute. Organizational dynamics are essential to the operations of companies in many industries, including healthcare, finance, education, manufacturing and business.

Importance of organizational dynamics

Organizational dynamics are important because they help companies strengthen the relationships they have with stakeholders, suppliers, employees, independent operators and franchisors. Organizational dynamics create a high-performance culture that prioritizes the well-being of individuals so that they can positively contribute to a company. Some other benefits of organizational dynamics are that they:

- Create quality control standards, system standards, efficient processes and best practices for a company
- Resolve disputes with patience, empathy and respect
- Evaluate the existing culture of a company
- Develop business strategies to foster success and increase the quality of interpersonal relationships

Individual and Group Dynamics

Individual and Group Dynamics refer to the psychological and behavioral processes that occur within individuals and groups, influencing how people interact, make decisions, and work together in various settings.

Individual Dynamics

If a person, place or thing is energetic and active, then it's dynamic. If someone has a dynamic personality means he has some extra qualities like creative thinking, ability to complete the target, is successful and has positive attitude. These qualities are termed as **Individual Dynamics**.

Features of dynamic person

- Has a positive attitude and approach
- Can adjust to various environments.
- Can come up with brilliant solutions for seemingly impossible problems.
- People go to him for getting their queries solved.
- Is innovative and creative.
- Eager to learn and use what he/she has learnt.

Group Dynamics

The social process by which people interact and behave in a group environment is called group dynamics. Group dynamics involves the influence of personality, power, and behaviour on the group process. Is the relationship between individuals conducive to achieving the groups goals? Is the structure and size of the group an asset in pursuing both the task and maintenance functions of the group? How is formal and informal power used to build consensus or reach decisions? Does the combination of individuals produce the right culture? How these individuals, cultures, and internal forces interact allows us to analyze and better understand group effectiveness.

There are two types of groups:

1) formal groups who are structured to pursue a specific task, and

2) informal groups who emerge naturally in response to organizational or member interests.

These interests may include anything from a research group charged with the responsibility to develop a new product to a group of workers who spontaneously come together to improve social or member activities. While we can learn a lot from informal groups in terms of leadership and motivation, we will concentrate mostly on formal groups, characterized by member appointment and delegated authority and responsibility.

Difference between Formal and Informal Organisation:

Basis	Formal Group	Informal Group
Meaning	Groups that are intentionally formed within an organization's structure are known as Formal Groups. They have defined roles, responsibilities, and reporting relationships.	Groups that emerge spontaneously within an organization based on social interactions, shared interests, or personal relationships are known as Informal Groups.
Formation	The formation is deliberately created and officially recognized within the organization. They are typically established through official channels, such as by management or through organizational policies and procedures.	The formation is voluntarily based on social interactions, shared interests, or personal relationships among employees. They are not officially recognized or structured by the organization and may exist alongside formal groups.
Structure	The structure of formal group is well defined.	The structure of informal group is not defined.
Size	The size of formal group is generally large.	The size of the informal group is relatively small.
Purpose	Formal Groups are formed with specific organizational objectives in mind, such as completing projects, making decisions, or implementing strategies to achieve organizational goals.	The purpose of informal groups is often social or emotional, providing members with a sense of belonging, support, or camaraderie within the workplace.
Life	The life of formal groups depends on the type of group and its purpose.	The life of informal group depends on the group members.

Basis	Formal Group	Informal Group
Communication	Formal Groups tends to follow established protocols and channels set by the organization. Meetings, reports, and official communications are common modes of interaction.	Informal Groups is often informal, spontaneous, and based on personal relationships. Members may communicate through informal conversations, social gatherings, or digital platforms.

Group Structure and Size

Effective group performance depends to a large extent, on the size and composition of the group. A group may consist of as few as two people (giving credibility to the statement that "two heads are better than one"), or as many as three or four hundred. In order to be effective, group size should be kept to a minimum without jeopardizing workload and goal achievement. Larger groups increase the possibility of conflict due to the variety of viewpoints, few opportunities for the development of social relationships, a decrease in participation levels, and lack of opportunity for individual recognition.

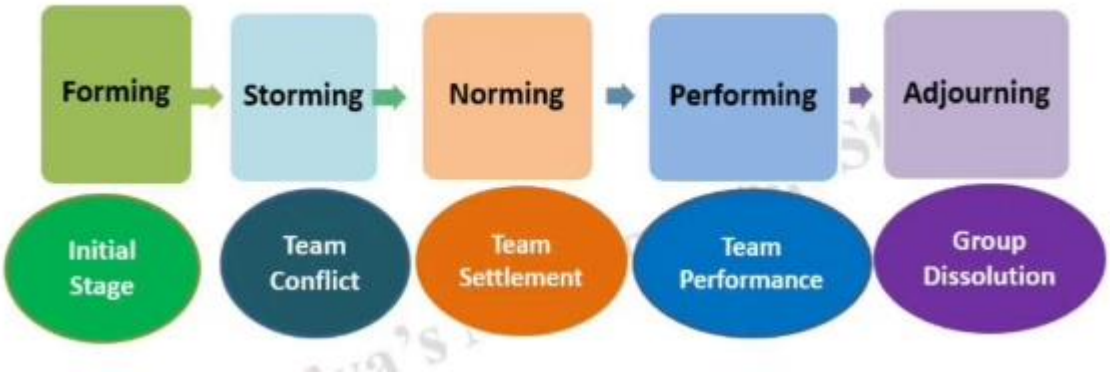
Individual skills and performance must be a consideration in forming a group. How many people will be required to ensure that all the skill sets necessary for the performance of the task are included? Will the task be slowed by a poor performer as may happen with assembly line production? Does the group contain the combination of leaders and followers that will lessen the potential for member rivalries and conflicts?

Diversification is a factor in both group development and skill requirement. A group of predominately white males may develop more quickly than an ethnically and racially diverse group of men and women. But while the former group may be better able to communicate, set standards and grow as a cohesive unit, it may not be diverse enough to meet all the community or organizational needs. A more diverse group may take longer to reach peak performance due to the number of cultures, language differences, and interpretation of the task to be completed, but once they do develop, diverse groups are equally productive and may even be more creative in problem-solving because members have access to a broader base of ideas for solutions.

Stages of Group Development

The appointment of individuals to a group based on their compatibility, diversity, or expertise does not assure effectiveness in achieving group goals. A group is initially a collection of personalities with different characteristics, needs, and influences. To be effective, these individuals must spend time acclimatizing themselves to their environment, the task, and to each other.

Organizational experts and practitioners have observed that new groups go through a number of stages before they achieve maximum performance. Each stage presents the members with different challenges that must be overcome before they can move on to the next stage. These stages have been identified as forming, storming, norming, performing, and adjourning.



Forming: At this first stage of development, members are preoccupied with familiarizing themselves with the task and to other members of the group This is sometimes referred to as the dependent stage, as members tend to depend on outside expertise for guidance, job definition, and task analysis.

Storming: At this stage, the group encounters conflict as members confront and criticize each other and the approach the group is taking to their task. Issues that arise include identification of roles and responsibilities, operational rules and procedures, and the individual need for recognition of his or her skills and abilities. This stage is also referred to as the counter dependent stage where members tend to "flex their muscles" in search of identity. In some cases, the group may have problems getting through this stage. This may occur if the group encounters difficulty clarifying their task, agreeing on their mission or mandate, or deciding how they will proceed. Lack of skills, ability or aptitude can also contribute to their inability to get beyond this stage.

Norming: At this point, members start to resolve the issues that are creating the conflict and begin to develop their social agreements. The members begin to recognize their inter dependence, develop cohesion, and agree on the group norms that will help them function effectively in the future.

Performing: When the group has sorted out its social structure and understands its goals and individual roles, it will move toward accomplishing its task. Mutual assistance and creativity become prominent themes at this stage. The group, sensing its growth and maturity, becomes independent, relying on its own resources.

Adjourning: During this phase, the group will resort to some form of closure that includes rites and rituals suitable to the event. These may include socials and parties, or ceremonies that exhibit emotional support or celebration of their success.

Organizational Behaviour

Organizational behaviour is the study of individuals, groups and organizational systems. Organisational behaviour examines how human beings behave and interact with each other in the organisations. OB is considered as an art of applied science which deals with the emotions, feelings, believes, perceptions, intellectuality and mentality of people working in an organisation. As human resource is a crucial factor which effects the growth of any organisation, it becomes utmost important to understand how the behaviour of people working in an organisation can help it to grow.

Role of Organizational Behaviour

The Role of organizational behaviour is multifaceted and crucial for the success of any organization. Here are some key points highlighting its importance:

1. **Performance Improvement:** Organizational Behaviour helps in identifying ways to increase productivity and efficiency, leading to better performance outcomes for both individuals and the organization.

2. **Employee Satisfaction:** By understanding the needs and motivations of employees, Organizational Behaviour contributes to creating a work environment that enhances job satisfaction and employee retention.

3. **Leadership Development:** Organizational Behaviour provides insights into effective leadership styles and practices, enabling the development of leaders who can inspire and guide their teams.

4. **Change Management:** It equips organizations with the tools to manage and adapt to change, ensuring resilience and flexibility in a dynamic business landscape.

5. **Conflict Resolution:** OB offers strategies for resolving interpersonal and group conflicts, fostering a harmonious workplace.

6. **Organizational Culture:** It plays a significant role in shaping and maintaining a positive organizational culture, which is essential for long-term success.

7. **Team Dynamics:** Organizational Behaviour studies how teams work and interact, which is vital for building strong, collaborative teams that can achieve collective goals.

8. **Communication Enhancement:** It improves communication within an organization, ensuring that information flows effectively between different levels and departments.

9. **Decision-Making:** OB aids in the decision-making process by providing a better understanding of human behaviour and organizational dynamics.

10. **Innovation Encouragement:** It encourages innovation by creating an environment where new ideas are valued and employees feel empowered to share their creativity.

Importance of Organizational Behavior

1. Good Workplace Relationships

It is hard to build meaningful workplace relationships. As a leader, you have to look out for any instances of conflict. Or situations that can hamper employee relationships. Figuring out the real issues that harm employee relationships might be a daunting job. But it is essential to do that. Organizational behavior is essential to assist a leader in solving the issues. It helps you to improve communication among people. On top of that, it reduces any chances of misunderstanding that can harm relationships.

2. Employee Motivation

Motivation is a crucial element when we talk about employee engagement. Without motivation, it is difficult to improve productivity. A lack of motivation is why your people don’t give their 100% effort to the job. Tackling such an issue will require the study of organizational behavior. It gives a clear understanding of the issues. After which, you can quickly act on it and resolve them for greater efficiency.

3. Builds a Psychologically Safe Workplace

Organizational behavior study helps a leader to understand their influence on the employees. It determines your attitude towards them. It draws a clear picture of how to make your workplace psychologically safe. This is a workplace that will inspire and build morale. A psychologically safe workplace helps the employees in- Recognize that you can examine differences by studying behavior. This allows a manager to build a workplace where employees feel at home and work without any hiccups.

4. Nature of Employees

Achieving success in the long term can be a difficult task. And maintaining consistency is even more significantly challenging. However, it will all depend on how employees behave at work. Their attitude towards their work will reflect on the results. The employees need to be passionate and enthusiastic about their work. And if they are laid back regarding their work, then it poses as a roadblock.

5. Higher Efficiency in Teams

The study of behavior in an organization is vital for team collaboration. It gives you insights into the similarities and differences that people share. Understanding the dynamics will assist a leader in facilitating better team unity. A team with good chemistry will- In return, it builds good morale and confidence among team members. Thus, increasing team bonding which is crucial in meeting the company objectives. As a result, leaders can achieve greater success in the long term.

Organizational Culture

Organizational culture, or company culture, is the shared values, attitudes and practices that make up the identity of an organization. It largely shapes employee behavior and interactions within a company.

Organizational culture, also known as company culture, refers to the shared values, attitudes and practices that characterize an organization. It’s the personality of your company, and it shows up in the way employees do their work, interact with each other and represent your company to the broader world.

There are thought to be four main types of organizational culture — including clan culture, adhocracy culture, hierarchy culture and market culture

Types of Organizational Culture

- **Clan Culture:** emphasizes collaboration across teams and a horizontal structure.
- **Adhocracy Culture:** allows individuals to share ideas and encourages the company to take risks.
- **Market Culture:** focuses on financial success and how each employee contributes to revenue.
- **Hierarchy Culture:** emphasizes career paths and provides clear managerial processes.

Clan Culture

A clan culture is people-focused in the sense that the company feels family-like. This is a highly collaborative work environment where every individual is valued and communication is a top priority. Clan culture is often paired with a horizontal structure, which helps to break down barriers between the C-suite and employees, and it encourages mentorship opportunities. These companies are action-oriented and embrace change, a testament to their highly flexible nature.

Adhocracy Culture

Adhocracy cultures are rooted in innovation and adaptability. These are the companies that are on the cutting-edge of their industry — they're looking to develop the next big thing before anyone else. To do so, they need to take risks. Adhocracy cultures value individuality in the sense that employees are encouraged to think creatively and bring their ideas to the table. Because this type of organizational culture falls within the external focus and differentiation category, new ideas need to be tied to market growth and company success.

Market Culture

Market culture prioritizes profitability. Everything is evaluated with the bottom line in mind; each position has an objective that aligns with the company's larger goal, and there are often several degrees of separation between employees and leadership roles. These are results-oriented organizations that focus on external success rather than internal satisfaction. A market culture stresses the importance of meeting quotas, reaching targets and getting results.

Hierarchy Culture

Companies with hierarchy cultures adhere to the traditional corporate structure. These are companies focused on internal organization by way of a clear chain of command and multiple management tiers that separate employees and leadership. In addition to a rigid structure, there's often a dress code for employees to follow. Hierarchy cultures have a set way of doing things, which makes them stable and risk-averse.

Organizational Structure

An organizational structure is a system that outlines how certain activities are directed to achieve the goals of an organization. These activities can include rules, roles, and responsibilities.

The organizational structure also determines how information flows between levels within the company. Decisions flow from the top down in a centralized structure. Decision-making power is distributed among various levels of the organization in a decentralized structure. Having an organizational structure in place allows companies to remain efficient and focused.

Organizational structure refers to the formal system of tasks, power, and reporting relationships within a company. It defines how activities such as task allocation, coordination, and supervision are directed toward achieving organizational goals.

Types of Organizational Structures:

1. **Functional Structure:** Organized by departments based on functions (e.g., marketing, finance, operations).
2. **Divisional Structure:** Organized by products, services, or geographical regions.
3. **Matrix Structure:** A hybrid structure combining functional and project-based structures.
4. **Flat Structure:** Fewer hierarchical levels, encouraging open communication and decision-making.
5. **Hierarchical (Tall) Structure:** Many levels of management, with a clear chain of command.
6. **Team-Based Structure:** Focused on collaboration within teams rather than a rigid hierarchy.

1. **Functional structure**

The functional structure involves structuring teams and organizing employees based on specific functions, such as marketing, finance, or human resources.

Each function is managed by a department head, who reports to senior management.

This structure gives employees deep specialization as they interact with people with similar expertise and skills. This can improve efficiency and performance within departments.

The departments are also easily scalable.

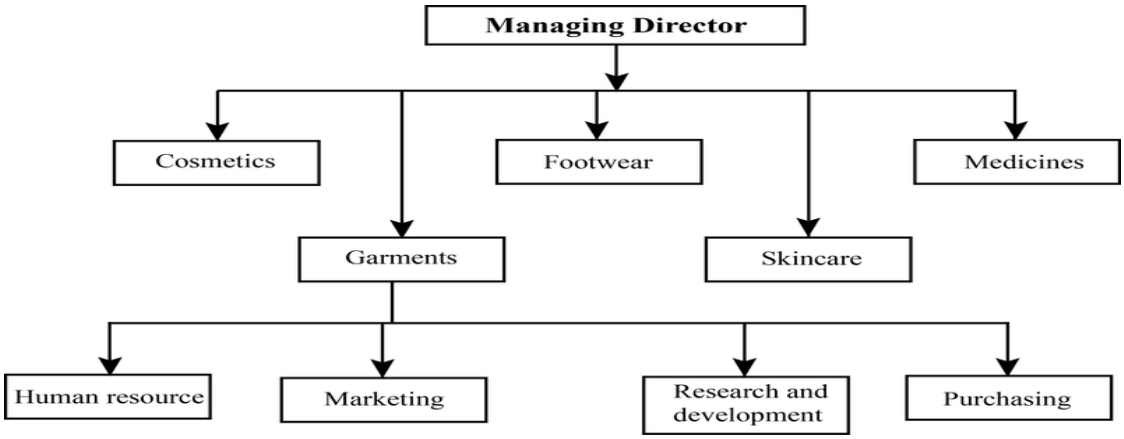
Advantages

- A well-defined line of reporting, leading to streamlined decision-making
- Resources are used efficiently
- Boosts accountability within departments
- Allows deep specialization and a clear career path
- Can be easily scaled

Disadvantages

- Can create silos with limited interaction between departments
- Limits employees' knowledge and expertise to their insulated functions and teams
- Organizations may struggle to respond quickly to changes

2. **Divisional structure**



In a divisional structure, the organization is split into self-contained units based on product lines, markets, or geographical regions.

Each division operates like its own business, with its own departments, such as marketing, sales, and production. This structure allows them to focus on specific products or markets while maintaining operational efficiency.

Each division can tailor its strategies to the needs of its particular market or product line, offering greater flexibility and responsiveness.

This structure is often used by large corporations with diverse product offerings and those that operate in different geographical areas.

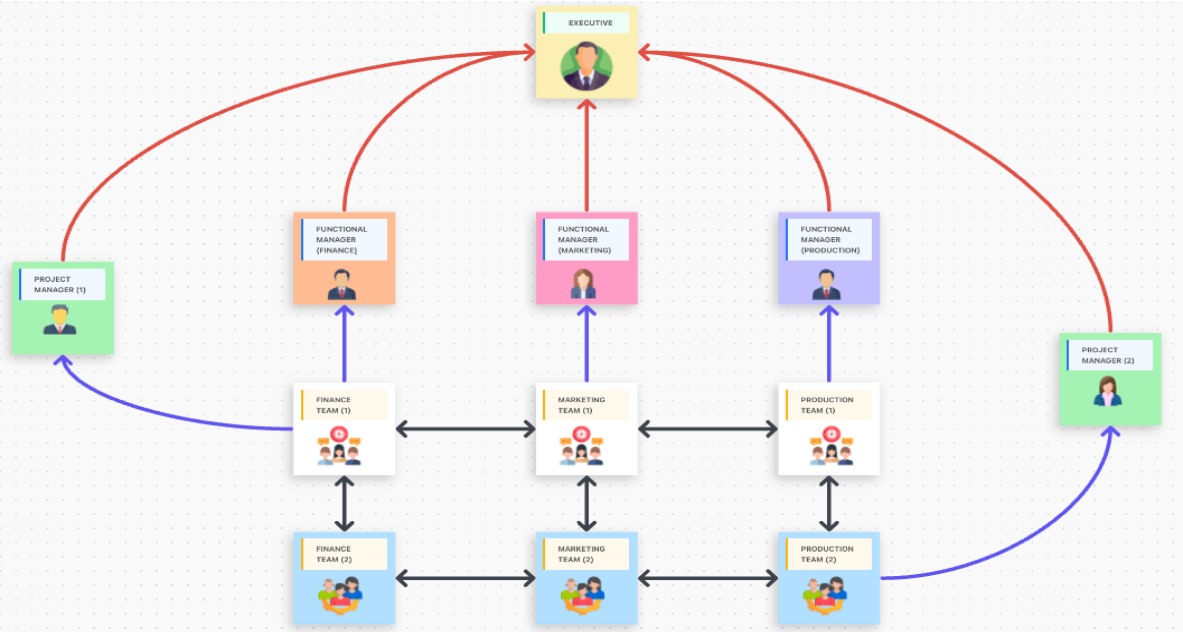
Advantages

- Divisions can quickly adapt to changes in their markets and regions without affecting the entire organization
- Division leaders have more control over their operations
- Each division focuses on its specific market and product, leading to greater specialization
- Allows accountability for each division's performance

Disadvantages

- Leads to the duplication of resources
- Can be expensive
- Can lead to miscommunication among the divisions and headquarters, as coordination between divisions can be challenging
- Can result in internal competition among divisions

3. Matrix structure



The matrix organizational structure blends two or more organizational structure types, typically project-based and functional organizational structures.

In this type, employees have dual reporting relationships. They report both to a functional manager (like marketing or finance) and a project or product manager overseeing specific initiatives.

This model is great for enhancing flexibility and cross-functional collaboration. It brings together specialists from different departments to work on specific projects. Teams can be assembled and disbanded based on business needs.

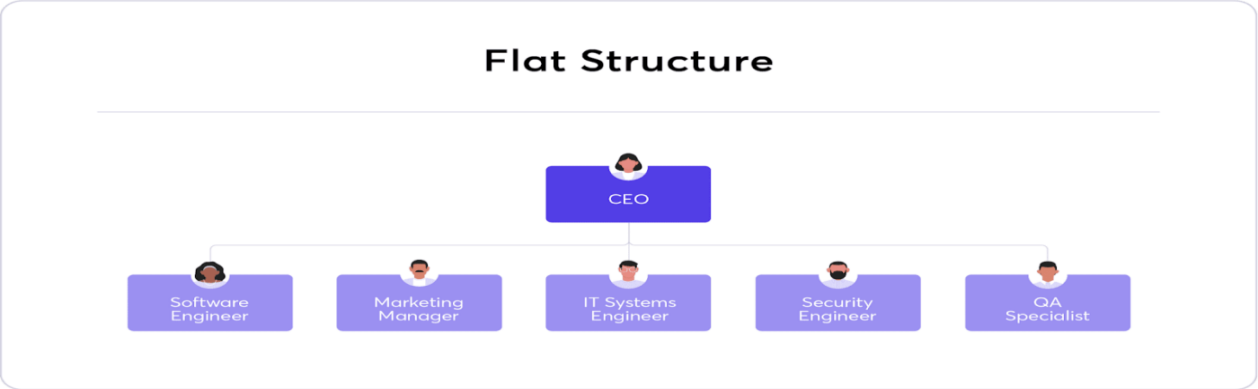
Advantages

- Allows teams to form quickly based on specific project needs
- Improves collaboration as employees from different departments work together
- More efficient allocation of resources
- Employees develop broad skills by working across departments

Disadvantages

- Can lead to confusion as employees have to report to two managers
- Can be overly complicated with multiple reporting lines
- Disagreements between functional and project managers can create tension

4. **Flat or horizontal structure**



A flat organizational structure eliminates the layer of middle management present in hierarchical structures.

Employees in this structure often report directly to senior management. This means that they take on more responsibilities and have greater autonomy. Employees are encouraged to work independently and tend to take more initiative.

The reduction in management layers also leads to quick communication and faster responses to problems.

This structure is found in smaller companies, startups, or organizations emphasizing collaboration and fast decision-making. However, as an organization grows, maintaining a flat structure becomes more challenging.

Advantages

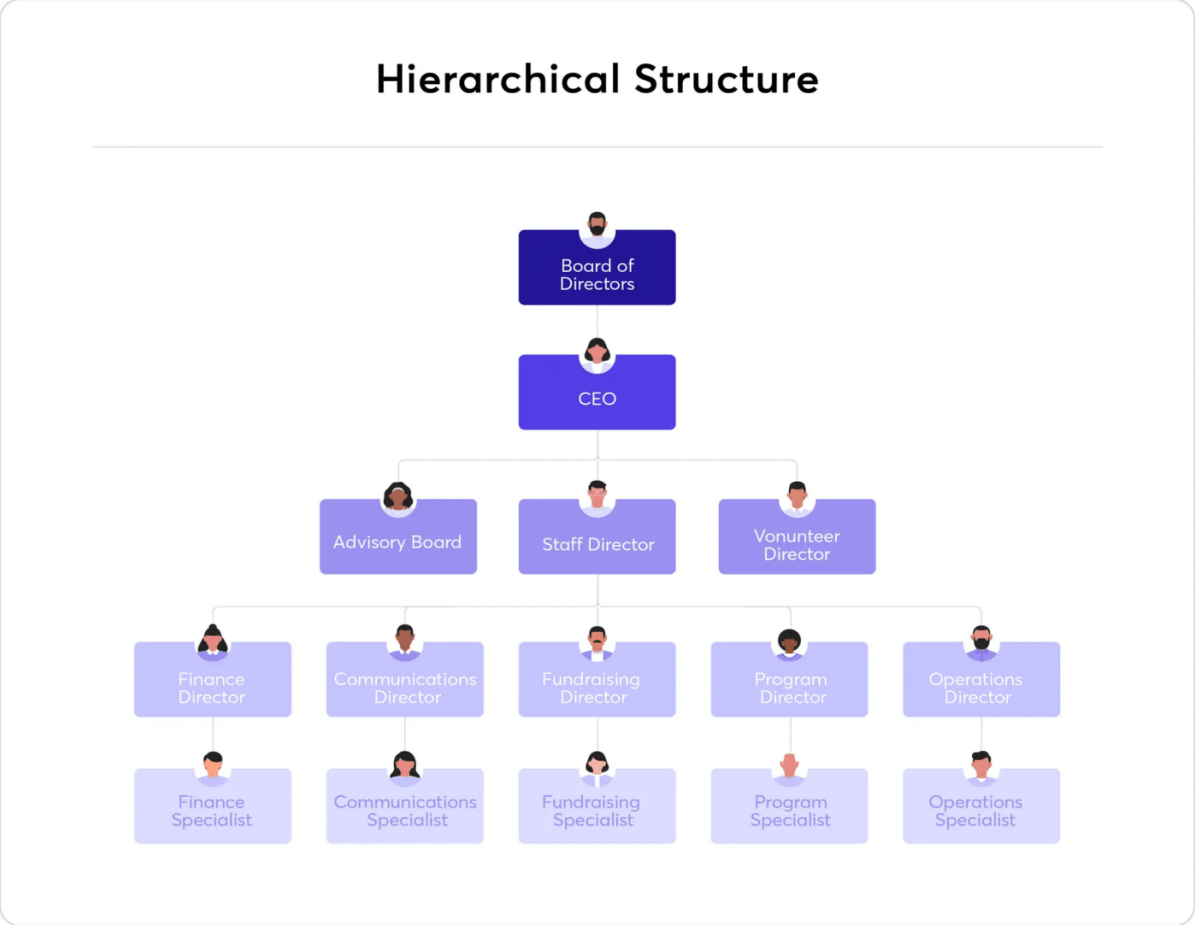
- Gives employees room for growth and increased responsibility
- Improves the speed of decision-making and actions
- Promotes open and direct communication
- Saves money as the company is run with a lean team and doesn't pay for middle management

Disadvantages

- Can create confusion and ambiguity in job roles and authority
- Senior management can feel overwhelmed with having to oversee a large workforce

- Can cause power struggles and scalability issues
- Can be difficult to maintain as the company grows

5. **Hierarchical structure**



The hierarchical structure is the most traditional and widely recognized organizational structure. It resembles a pyramid with the CEO or the highest-ranking official at the top. As you move down the chart, layers of middle management, supervisors, and employees are clearly defined.

The power, responsibilities, and communication flow downward through the organization. Each level has authority over the one under it, and every employee has a direct supervisor to report to.

This structure is common in large organizations and corporations with many departments and complex operations.

Advantages

- Each employee has well-defined authority and responsibility
- Decision-making is centralized, with higher-level managers making decisions
- Standardized procedures and policies create consistency and predictability
- Employees understand the defined career paths that lie before them

Disadvantages

- Decisions need to go through multiple layers, slowing down the decision-making process and increasing bureaucratic hurdles
- The rigidity of hierarchical structure can stifle creativity and adaptability to changes
- Information can get distorted as it travels up or down the chain

6. Team-based structure

The team-based structure organizes employees into cross-functional teams focusing on specific projects or tasks.

Teams are generally small, with members from different departments working together to achieve common goals.

This structure emphasizes cooperation, flexibility, and shared leadership. It breaks down departmental silos and encourages employees to work together across functions. Teams get enough freedom to manage their processes.

This format is usually found in high-growth startups where a “Growth” team includes a marketing manager, a product manager, a bunch of engineers, and a sales professional among others.

Advantages

- Improves collaboration and innovation
- As teams have the autonomy to make decisions, they feel more empowered and have a sense of ownership
- Decentralized decision-making leads to quick actions
- Increases productivity and transparency
- Focuses on nurturing growth mindset among employees
- Requires less oversight

Disadvantages

- Can lead to confusion over roles, responsibilities, and decision-making authority
- Holding teams and individuals accountable for their performance can be challenging
- The promotion path is not clear

Influence of Culture on Dynamics and Performance

Organizational culture plays a pivotal role in shaping workplace dynamics and overall performance. It consists of shared values, beliefs, and norms that influence how employees interact and make decisions. Here's how culture affects various aspects of an organization:

1. Employee Behavior and Engagement

- **Positive Culture:** Encourages collaboration, trust, and a sense of belonging. Employees feel valued and motivated, leading to higher engagement and job satisfaction.
- **Negative Culture:** Can create stress, distrust, and low morale, leading to disengagement and higher turnover rates.

Example: A culture emphasizing open communication and feedback fosters transparency and proactive problem-solving.

2. Team Collaboration and Communication

- **Supportive Culture:** Teams communicate openly, share ideas, and collaborate effectively, enhancing innovation and problem-solving.
- **Toxic Culture:** Poor communication and departmental silos can hinder teamwork, causing misunderstandings and inefficiency.

Example: A team-oriented culture encourages cross-departmental collaboration, improving project success rates.

3. Leadership Styles and Decision-Making

- **Innovative Cultures:** Promote participative leadership, where employees are involved in decision-making.
- **Rigid Cultures:** Often result in authoritative leadership styles with top-down decision-making, limiting innovation.

Example: A culture valuing empowerment may encourage decentralized decision-making, improving agility and responsiveness.

4. Organizational Performance and Productivity

- **Performance-Oriented Culture:** Focuses on results, accountability, and continuous improvement, driving high productivity.
- **Compliance-Driven Culture:** Focuses more on rules and procedures, which can reduce efficiency and slow decision-making.

Example: Companies like Google foster cultures of creativity, leading to innovative product development and market leadership.

5. Adaptability to Change

- **Flexible Culture:** Encourages adaptability, continuous learning, and resilience during organizational changes.
- **Rigid Culture:** Resistant to change, often causing disruptions and conflicts during transformations.

Example: A learning-oriented culture helps organizations stay competitive in fast-changing industries like technology.

6. Ethical Behavior and Reputation

- **Ethical Culture:** Emphasizes integrity, fairness, and responsibility, enhancing brand reputation and trust.
- **Unethical Culture:** May prioritize profits over values, leading to reputational damage and legal issues.

Example: Companies with strong ethical cultures, such as Patagonia, emphasize sustainability, enhancing public trust.

7. Innovation and Creativity

- **Innovative Culture:** Encourages risk-taking, experimentation, and idea-sharing, driving creativity.
- **Conservative Culture:** Focuses on maintaining the status quo, which can stifle creativity and growth.

Example: Apple's culture of innovation has been central to its continued technological leadership.

Change management

Change management is the process of guiding organizational change from start to finish, including planning, implementing, and solidifying changes in an organization. It refers to how companies handle modifications, such as the implementation of new technology, adjustments to existing processes, and shifting organizational hierarchy.

Many factors make organizational change necessary. Some of the most common faced by managers include:

- New leadership at the helm of the company or within its departments
- Shifts in the organizational team structure
- The implementation of new technology
- The adoption of new business models

Two Types of organizational change

1. **Adaptive change**
2. **Transformational changes**

Adaptive changes are small, incremental changes organizations adopt to address needs that evolve over time. Typically, these changes are minor adjustments managers fine-tune and implement to execute business strategies. Throughout the process, leadership may add, subtract, or refine processes.

Adaptive change examples include:

- Training employees in new tools or technologies
- Streamlining communication channels to improve information flow
- Upgrading existing hardware and software to improve security and performance
- Adjusting pricing strategies to remain competitive

Transformational changes have a larger scale and scope than adaptive changes. They can often involve a simultaneous shift in mission and strategy, company or team structure, people and organizational performance, or business processes. Because of their scale, these changes often take a substantial amount of time and energy to enact. Though it's not always the case, transformational changes are often pursued in response to external forces, such as the emergence of a disruptive new competitor or issues impacting a company’s supply chain.

Transformational change examples include:

- Adoption of a customer relationship management software (CRM), which all departments are expected to learn and employ
- Company reorganization of departments and teams to improve efficiency
- New product or service launches to disrupt the market
- Global expansion, which requires adapting to different cultures, legal regulations, or business practices